

L-BUL-020-O.Immc

2nd October 2006

Peak Petroleum Industries Nigeria Ltd
For the attention of Glyn Evans

Equator Exploration Nigeria Ltd
For the attention of Ken Seymour

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Dear Sirs

We refer to your recent request to run and land the Bulford Dolphin BOP without guidebase/guidelines and to subsequent discussions. The result of these discussions is to confirm that there are additional risks particularly associated with landing the BOP on the wellhead whilst operating in this non standard manner. The specific risks and operational considerations of landing the BOP without guidebase/guidelines are as attached.

We have further considered our insurance position in the event that the BOP is run and landed without guidebase/guidelines and see that in the event of equipment failure/damage during such operations we may encounter difficulties with any resultant insurance claim.

In order for us to agree to land the BOP without guidebase/guidelines we therefore require a written confirmation that Company will additionally protect and indemnify Contractor from any potential adverse financial and technical consequences specifically resulting from Company's request to operate the BOP in this manner.

Specifically, we ask for Company's confirmation of the following:

- a) Company shall reimburse Contractor for cost of repairs and/or replacement equipment required as a result of damage to subsea and other equipment, including but not limited to BOP, riser, well head connector, incurred as a result of landing without guidebase/guidelines.
- b) Repair Rate provisions of the Contract shall not be applicable in the event of equipment repairs, including any time waiting for spare equipment and other materials, being required as a result of guideline-less operations and instead Contractor shall continue to be paid at Standby Rate for the duration of any such time to complete the repairs.
- c) The termination provisions of the Contract (i.e. Clause 21.3 (e)) shall not apply in the event of equipment repairs being required as a result of guideline-less operations.
- d) Company accepts that certain operating parameters will be affected during running and landing the BOP guideline-less. This will include potentially more stringent environmental operating parameters, slower BOP running speed and more detailed ROV support. Contractor, shall not suffer any financial penalty or cost as result of the application of such different operating parameters.

We trust the implications of landing the BOP without guidebase/guidelines are sufficiently clear. On the basis that Company accepts the above provisions in writing, by signing below, Contractor confirms that we are willing to proceed with planning and implementing operations on the basis of guideline-less operations.

Yours faithfully
For and on behalf of **Dolphin Drilling Ltd**

Per Johansson
General Manager



Accepted and confirmed for and on behalf of Peak Petroleum Industries Nigeria Ltd and Equator Exploration Ltd

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Attachment: Bulford Dolphin Running and Landing BOP without Guidelines – Technical Implications

BULFORD DOLPHIN- RUNNING AND LANDING BOP WITH OUT GUIDELINES/GUIDEBASE – TECHNICAL IMPLICATIONS

Below is a list of the potential hazards associated without guidebase and the possible resultant damage to equipment which could result in significant down time and repair costs.

- 1- There is no funnel down facility on the lower BOP frame for guidance over the wellhead. This could easily result in mechanical damage to the connector which would require the connector to be changed out resulting in approx one week minimum downtime plus shipping costs. If the wellhead is damaged then it would be a re-spud. It is critical that the ROV evaluate currents and has a clear view at all times. The sea state should be near perfect with no significant heave.
- 2- The major risk is of damage to the wellhead or BOP connector. Such damage could be to mechanical to the hydraulic cylinder heads of the connector causing hydraulic failures or to the profile of the wellhead which could cause the connector dog segments to fail to release. Such damage may potentially go undetected until the end of well and result in difficulties or failure to disconnect from the wellhead.
- 3- Before running the BOP commences, a suitable weather window should be available which has a timescale such to allow the operation to be completed in one continuous operation. Commencing running the BOP and then having to wait on weather for an extended period of time with the BOP hanging in the spider is to be avoided.
- 4- During running of the BOP great care is required to ensure that the BOP does not rotate in the current as this will cause damage to the control umbilicals resulting in loss of function ability of the BOP which means it has to be pulled and repaired, with the potential for several days downtime.

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